

Alan Dunne: Inside the Regime-Adaptive Portfolio

Extracted from: Systematic Investor | Top Traders Unplugged Ep.377

Source: [Top Traders Unplugged \(YouTube\)](#)

Published: 13-12-2024

 **5-Minute Version:** [Watch Key Excerpts](#)

Executive Summary

Alan Dunne presents a framework for **regime-adaptive portfolio construction** that challenges the 60/40 orthodoxy. The core thesis: traditional labels (alternative/traditional, public/private) obscure true risk factor exposures. A typical institutional portfolio with 10-12 “diversified” buckets may have **80%+ exposure to growth and stable inflation**—leaving investors massively unprepared for tail scenarios like runaway inflation or deflationary deleveraging. The solution: allocate 40% risk to growth, 40% to **adaptive strategies** (trend following, macro), and 20% to true diversifiers—measured in risk contribution, not capital.

The **macro backdrop demands this shift**. We’ve exited a 40-year disinflationary regime (Volcker → 2020) defined by falling rates, central bank independence, and excess global savings. Now: debt/GDP at 2x 1999 levels, no fiscal surplus to cushion recession, \$40T household equity exposure creating wealth-effect fragility, and bond markets globally (JGBs, Bunds) signaling structural capital competition from AI capex and defense spending. The 1990s parallel is **superficial**—productivity gains then came from PCs (supply-side), while today’s AI spending is demand-side without proven supply benefits yet.

PM implication: The behavioral bias of optimizing hedge fund buckets in isolation (favoring market-neutral, multi-strat) vs total portfolio context (favoring trend, macro, commodities) explains chronic underallocation to adaptive strategies. Return stacking and portable alpha tools unlock this—but require rethinking risk budgets. Dunne’s backtested adaptive portfolio outperforms 60/40 since 1990 primarily by **limiting drawdowns** (not beating bull markets), enabling superior compounding from a higher base.

Listen or Skip?

Verdict: Must-listen

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★☆
Novel insights	★★★★★
Production quality	★★★★☆

Best for: Allocators, family offices, anyone rethinking strategic asset allocation **Skip if:** Looking for tactical trading ideas or short-term views

Key Quotes

- “They conclude that the way things are today is the way it’ll always be and the things that have been happening will continue to happen.” — Howard Marks
- “These systems always break down. The lesson is be prepared.” — William White
- “If you take your typical institutional portfolio... they might have 10-11-12 buckets but actually if you break it down into how much is linked to growth it could be 80%. In risk terms it could be more than 90%.”
- “The debt-GDP level in the US is double what it was in 1999. In 1999-2000 there was a fiscal surplus. We’re in a much more unstable environment now.”

5. *"Trend following is often positioned as crisis risk offset... but actually they're more like the midfielders. They can be pro-growth, pro-risk at times when equities are trending higher."*
6. *"If you optimize a hedge fund portfolio on a standalone basis you get a different outcome than if you optimize in the context of a broader portfolio... standalone points you to market neutral; total portfolio points you to macro, trend following."*
7. *"When a major economy like the US starts behaving like an emerging market, runaway inflation is the obvious risk."*
8. *"The benefit comes from the notably lower drawdowns... in those tougher times the drawdowns are limited and then when markets recover you can compound from a higher base."*

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	Neutral (structural, not tactical)
Conviction	High
Time Horizon	Structural (1y+)
Primary Domain(s)	Macro Equities Rates Commodities
Why Now?	Regime change + elevated valuations + debt fragility = underpriced tails

Top 3 Investable Ideas:

1. **Increase allocation to adaptive strategies (trend, macro)** — Target 40% of risk budget; use return stacking to fund without selling growth
2. **Reduce hidden growth concentration** — Audit portfolio for PE/VC/credit beta masquerading as "alternatives"
3. **Add inflation hedges** — Gold, commodities, TIPS underowned in most portfolios vs tail risk

2) Key Investable Insights

Insight 1: Portfolio Labels Hide True Risk Concentration

- **Claim:** Most "diversified" institutional portfolios have 80-90% risk tied to growth and stable inflation
- **Asset Class:** Multi-asset, Alternatives
- **Mechanism:** Private equity, venture, private credit, long-short equity all correlate to growth in drawdowns
- **Expression:** Audit portfolio using factor exposure (not asset labels); reallocate to true diversifiers
- **Trigger to Exit/Flip:** If inflation falls sustainably below 2% and rates go negative again (return to pre-2020 regime)
- **Confidence:** High

Insight 2: Adaptive Strategies as Midfielders, Not Just Defense

- **Claim:** Trend following should not be siloed as "crisis alpha"—it adds risk in uptrends, cuts in downtrends
- **Asset Class:** Managed Futures, Global Macro
- **Mechanism:** Rolling equity beta of adaptive portfolio swings from negative to >1 vs 60/40's static 0.6 beta
- **Expression:** Size trend/macro allocation for regime flexibility, not just tail hedging
- **Trigger to Exit/Flip:** Structural return to low-vol, low-correlation environment (unlikely near-term)
- **Confidence:** High

Insight 3: 1990s Parallel is Misleading

- **Claim:** Today's AI boom is demand-side (capex spending); 1990s productivity came from supply-side (PC adoption)
- **Asset Class:** US Equities (Tech)

- **Mechanism:** Spending on chips/datacenters adds to GDP but productivity gains not yet materialized (McKinsey, St. Louis Fed studies)
- **Expression:** Skepticism on extrapolating 1990s equity returns; debt/valuation backdrop far worse
- **Trigger to Exit/Flip:** Clear evidence of AI productivity gains in corporate earnings and labor data
- **Confidence:** Medium

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/Flows
Rising global yields (JGBs, Bunds, USTs)	Duration losses in bonds	Equity multiple compression	Bond-equity correlation positive	Carry trades under pressure	CTAs likely short duration
AI capex demand	GDP boost, chip/data center stocks up	Capital competition → higher neutral rate	Tech-rates correlation rising	Funding costs for AI buildout rising	Concentration in Mag7
Fiscal dominance risk	Bond vigilantes, term premium	Currency weakness, inflation expectations	Bonds fail as hedge	Steeper curves	Underweight duration globally
Yen carry unwind	JPY strength, JGB vol	Risk-off contagion (equities, EM)	JPY crosses correlated to risk	Carry unwind is vol event	Trend followers short JPY

4) Regime & Scenario Analysis

- **Current Regime Fit:** Post-disinflationary transition. Not stagflation yet, but inflation sticky above target. Growth positive but financialized (wealth effect fragile).
- **Base Case (50%):** Muddle-through with elevated volatility; inflation stays 2.5-4%, Fed cautious, equities grind higher but with 15-20% drawdowns. 60/40 underperforms adaptive.
- **Alt Case 1 (25%):** Runaway inflation—tariffs + fiscal dominance + deanchored expectations. Bonds crushed, equities derated despite nominal growth. Gold/commodities/trend outperform.
- **Alt Case 2 (15%):** Deflationary bust—AI bubble pops, credit event, recession forces fiscal response that overwhelms debt sustainability. Deleveraging spiral.
- **Alt Case 3 (10%):** Return to Goldilocks—AI productivity materializes, inflation falls, soft landing. 60/40 and growth assets win.
- **Anti-Thesis Trigger:** Inflation sustainably at 2%, bond-equity correlation negative, Fed regains credibility
- **Tail Risks:** US fiscal crisis, yen carry unwind, China deflation export, geopolitical shock

5) Hard Data & Verifiable Claims

- **Data:** US debt/GDP is 2x 1999 levels (Claim: was ~60% in 1999, now ~120%)
- **Data:** US had fiscal surplus in 1999-2000; now running 6%+ deficits
- **Data:** US households own ~\$40T in equities (cited)
- **Data:** Former IMF chief economist: 2022-type equity correction could wipe \$20T household wealth
- **Data:** German 25Y yields at multi-year highs
- **Data:** JGB yields rising steadily
- **Data:** 10Y UST ~4.1% (as of recording)
- **Data:** McKinsey 2024: AI adoption 88% of respondents vs 20% in 2017
- **Data:** San Francisco Fed study: tariffs historically raise unemployment immediately, inflation with 1-2 year lag
- **Data:** Socgen CTA index 2026 cutoff: \$1.9B AUM; Trend index cutoff: \$4.64B
- **Claim:** Typical institutional portfolio 80-90% growth-correlated in risk terms (framework assertion)
- **Claim:** Adaptive portfolio outperforms 60/40 since 1990 with lower drawdowns (backtested)

6) BS & Bias Filter

- **Incentives:** Alan runs Archive Capital, an advisory/allocator focused on trend/macro strategies. Paper promotes this approach.
 - **Blind Spots:** Less focus on implementation costs, manager selection, liquidity constraints for smaller investors
 - **Track Record:** Running adaptive portfolio for own money; exploring offering it as a strategy
 - **Consensus Check:** Contrarian on 60/40, aligned with growing “alternatives mainstream” movement (return stacking, portable alpha)
 - **Sample Bias:** Backtest since 1990 captures favorable period for trend; regime change thesis relies on post-2020 data
-

7) PM Bottom Line

Action → Implement / Review SAA

The regime has changed—allocating 40% risk to adaptive strategies (trend, macro) is no longer fringe, it’s prudent. Most portfolios are concentrated in growth/stable-inflation bets without knowing it. Audit factor exposures, use return stacking to add diversifiers without selling winners, and prepare for fatter tails in both directions.

Key watches: Inflation expectations (5Y5Y breakevens), bond-equity correlation persistence, yen carry positioning, AI productivity evidence (or lack thereof), fiscal deficit trajectory.

Paper download: archivecapital.ie